Revision Notes 2

Manuscript: EEREV-D-26-00102R2, "Rent Control? Bad in Theory, Not Always in Practice"
Authors: Shahar Rotberg and Lin Zhang

Dear Professor Pappa,

Thank you for the conditional acceptance of our paper. We are grateful to you, the Associate Editor and the referees. This note responds point by point to the items in your letter.

Our submission now includes the manuscript, the figure source files and the replication files.

1. Preparing the files for production

- **Labels.** Every file name includes the manuscript number and states what the file is: `EEREV-D-26-00102R2_manuscript`, `_appendix`, `_references`, `_Figure_1`, `_Figure_2`, `_ReadMe`.
- **Figures.** Each figure file carries the figure number used in the article: `EEREV-D-26-00102R2_Figure_1.eps` and `EEREV-D-26-00102R2_Figure_2.tiff` (600 dpi).
- **Underscores.** No file name contains spaces.
- **ReadMe.** The replication zip contains `EEREV-D-26-00102R2_ReadMe.pdf`. It lists every file in the package and explains the data sources and their availability, the software required, run times, how to run the code, and which output file produces each number in Tables 2-6 and Figure 2.
- **Size.** The replication files total about 18 MB, below the 100 MB limit, so we upload them directly. The same files are also available at https://github.com/srotberg/rent_control_bad_in_theory_not_always_in_practice, which is cited in the paper's first footnote.
- **Two zip folders.** `EEREV-D-26-00102R2_Source_files.zip` and `EEREV-D-26-00102R2_Replication_files.zip`.

2-4. File inventory

Manuscript and LaTeX source files (`EEREV-D-26-00102R2_Source_files.zip`):

- `EEREV-D-26-00102R2_manuscript.tex`: the manuscript, with all tables included in the file.
- `EEREV-D-26-00102R2_appendix.tex`: the appendix, read by the manuscript file.
- `EEREV-D-26-00102R2_references.bib` and `EEREV-D-26-00102R2_manuscript.bbl`: the bibliography (AER style) and its compiled version.
- `EEREV-D-26-00102R2_manuscript.pdf`: the compiled manuscript.
- `EEREV-D-26-00102R2_Figure_1.eps` and `EEREV-D-26-00102R2_Figure_2.tiff`: artwork in the requested formats. PDF and PNG copies of the same two figures are included only so that the LaTeX source compiles directly with pdfLaTeX.

Replication files (`EEREV-D-26-00102R2_Replication_files.zip`, supplementary material for online publication):

- `EEREV-D-26-00102R2_ReadMe.pdf`
- `code/`: the Fortran source that produces every simulation result, with instructions.
- `data/`: the data and Stata scripts behind the calibration targets and data moments.
- `outputs/`: the output file of every simulation, including the six reported in the paper.

- `plots/`: the Python script that draws Figure 2.

All data files in the package may be redistributed. Some calibration targets come from confidential 2016 Census microdata; the package contains the vetted statistics computed from those data and the scripts that produced them, and the ReadMe explains how researchers can obtain access to the microdata.

Corrections made while preparing the replication files

While checking every reported number against the simulation output files, we found and corrected the following. None of these changes affects the paper's conclusions.

- **Table 5.** Five cells now match the output files: Experiment 2 free-market rent (5.76 to 5.74) and homeownership (-1.08 to -1.02 p.p.); Experiment 3 homelessness (70.50 to 70.47); Experiment 4 controlled initial rent (-39.02 to -39.20) and homeownership (1.12 to 1.17 p.p.).
- **Figure 2.** The model lines were drawn from an earlier run of the benchmark; they are now drawn from the benchmark simulation reported in the paper. The patterns are unchanged, except that the model's homeownership rate after age 66 is now higher than in the data, so the sentence describing panel (a) in Section 4.3 now reads "the model over-predicts homeownership among middle-aged and older households and under-predicts it for young cohorts."
- **LaTeX.** Minor fixes so that the source compiles without errors; these do not change any content.

Sincerely,

Shahar Rotberg, on behalf of both authors